NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 22.04.2022 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CA(A) Merger & Amalgamation/2/230/AMR/ 2022		230	Sahuwala High Pressure Cylinders Private Limited (Transferor Company-1) Sahuwala Auto Forge and Engineering Private Limited (Transferor Company-2) Pan Fuel Tech Private Limited (Transferor Company-3) Sahuwala Cylinders Private Limited (Transferee Company)

Counsel for Petitioner(s):

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CA(A) Merger & Amalgamation/2/230/AMR/2022 is allowed, vide separate orders.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL, AMARAVATI BENCH, AT HYDERABAD

CA (CAA) No.2/230/AMR/2022

In the matter of the Companies Act, 2013;

AND

In the matter of Section 230 to 232 of the Companies Act, 2013

AND

In the matter of Scheme of Amalgamation between M/s.Sahuwala High Pressure Cylinders Private Limited (Transferor Company-1), M/s.Sahuwala Auto Forge and Engineering Private Limited (Transferor Company-2), M/s. Pan Fuel Tech Private Limited (Transferor Company-3) and M/s.Sahuwala Cylinders Private Limited (Transferee Company)

M/s. Sahuwala High Pressure Cylinders Private Limited,
Rep. by its Managing Director Mr.Pawan Kumar Gupta,
Having its registered office at Survey No.42,
G-Block, Fifth Cross, Behind Apparel Park,
Autonagar, Visakhapatnam – 530012,
Andhra Pradesh.

... Applicant/Transferor Company-1

M/s. Sahuwala Auto Forge and Engineering Private Limited,
Rep. by its Director Mr.Naveen Gupta,
Having its registered office at D.No.47-10-28,
Dwarakanagar, Visakhapatnam – 530016,
Andhra Pradesh.

... Applicant/Transferor Company-2

M/s. Pan Fuel Tech Private Limited,
Rep. by its Director Mr.Naveen Gupta,
Having its registered office at D1 & D2,
B-Block, Autonagar, Visakhapatnam-530012,
Andhra Pradesh.

... Applicant/Transferor Company-3

M/s. Sahuwala Cylinders Private Limited,
Rep. by its Director Mr.Abhishek Gupta,
Having its registered office at D-242,
Autonagar, Visakhapatnam – 530012,
Andhra Pradesh.

... Applicant/ Transferee Company

Order Pronounced on 22.04.2022

Coram:
Justice Telaprolu Rajani, Member (Judicial).

Counsel/Parties present:

For Applicant(s) : Mr. Kumar Puligadda, Advocate &
Mr. CS A.V.V.S.S.CH.B.Sekhar Babu, PCS

Per: Justice Telaprolu Rajani, Member (Judicial)

ORDER

1. The present Company Application is filed under Sections 230 to 232 of the Companies Act, 2013 read with Rule 3 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 by the Applicant Companies inter alia seeking an order to dispense with convening the meeting of the Shareholders, Secured Creditors and Unsecured Creditors of the Applicant

Companies for consideration of the Scheme of Amalgamation ("Scheme" for short) between the Applicant Companies and their respective shareholders and creditors as envisaged under the Scheme.

2. The Registered Offices of the Applicant Companies are situated in the State of Andhra Pradesh and therefore, they are within the jurisdiction of this Tribunal.

3. Brief facts leading to the filing of the present case are as follows:

a) The Applicant/Transferor Company-1 was incorporated as a private limited company on 01.12.2006. The Authorised Share Capital is Rs.16,00,00,000/- divided into 1,60,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.15,75,63,200/- divided into 1,57,56,320 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business to manufacture, assemble, convert, commercialize, design, develop, display, establish, handle, let on hire, install, maintain, operate, produce, promote, process, overhaul, renovate, recondition, remodel, service, supervise, supply, import, export, deal with all types of cylinders, conversion kits, storage tanks, high pressure vessels etc.

b) The Applicant/Transferor Company-2 was incorporated as a private limited company on 15.12.2005. The Authorised Share Capital is Rs.40,00,000/- divided into 4,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.40,00,000/- divided into 4,00,000 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business, as manufacturers, processors, fabricators, distributors, buyers, traders, importers, exporters, suppliers and also forging, designing, developing, modifying, renovating, plastic molding, injection molding and engaged in all kinds of components for industrial use, automotive, application machinery etc.

c) The Applicant/Transferor Company-3 was incorporated as a private limited company on 07.10.2002. The Authorised Share Capital is Rs.40,00,000/- divided into 4,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.32,00,000/- divided into 3,20,000 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business to manufacture or production of or dealing in all types of LPG Tanks, Conversion kits, multivalves and High Security Licenses Plates, distribution and trading of LPG Tanks, import and export the LPG Tanks, conversion kits, assemblies, assembly parts and other accessories to assemble and manufacture LPG Tanks and conversion kits etc.

d) The Applicant/Transferee Company was incorporated as a private limited company on 12.10.1982. The Authorised Share Capital is Rs.2,00,00,000/- divided into 20,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up share capital is Rs.2,00,00,000/- divided into 20,00,000 equity shares of Rs.10/- each. The main objects of the Company are to manufacture cylinders for packing of Light Petroleum Gas, Oxygen, Nitrogen, Carbonic Acid, Acetylene and various other types of gases etc.

4. According to the Applicant Companies, the Scheme of Amalgamation would inter alia have the benefits of consolidation of business of the companies, post completion of acquisition and focused management attention to respective businesses as a single entity; and unlocking the value of businesses.

5. It is further stated that the Board of Directors of the Applicant Companies vide its resolution dated 25.01.2022 has approved the Scheme of Amalgamation with appointed date as 01.04.2021, subject to the approval of their shareholders and creditors.

6. It is stated that no investigation or proceedings have been instituted or are pending in relation to the Applicant Companies.

7. The Applicant/Transferor Company-1 has filed certificate of the Auditor stating that as on 25.01.2022 there are Twelve (12)

Shareholders, together holding 1,57,56,320 Equity shares and they have given their consent in the form of affidavits, agreeing to the proposed Scheme.

8. The Applicant/Transferor Company-1 has filed certificate of the Auditor stating that as on 25.01.2022 there are Nineteen (19) Unsecured Creditors having a debt of Rs.50,32,72,985.30/- and has given its consent in the form of affidavit, agreeing to the proposed Scheme.

9. The Applicant/Transferor Company-2 has filed certificate of the Auditor stating that as on 25.01.2022 there are Two (2) Shareholders together holding 4,00,000 equity shares and they have given their consent in the form of affidavits, agreeing to the proposed Scheme.

10. The Applicant/Transferor Company-2 has filed certificate of the Auditor stating that as on 25.01.2022 there are Three (3) Unsecured Creditors having a debt of Rs.1,86,45,289.89/- and have given its consent in the form of affidavit, agreeing to the proposed Scheme.

11. The Applicant/Transferor Company-3 has filed certificate of the Auditor stating that as on 25.01.2022 there are Six (6) Shareholders together holding 3,20,000 equity shares and they have given their consent in the form of affidavits, agreeing to the proposed Scheme.

12. The Applicant/Transferor Company-3 also has filed certificate of the Auditor stating that there are no Secured & Unsecured Creditors as on 25.01.2022.

13. The Applicant/Transferee Company has filed certificate of the Auditor stating that as on 25.01.2022 there are Four (4) Shareholders together holding 20,00,000 equity shares and they have given their consent in the form of affidavits, agreeing to the proposed Scheme.

14. The Applicant/Transferee Company has filed certificate of the Auditor stating that as on 25.01.2022 there are Sixteen (16) Secured & Three (3) Unsecured having a debt of Rs.51,09,59,148.79/- and have given its consent in the form of affidavit, agreeing to the proposed Scheme.

15. Heard the submissions made in this regard by Mr.Kumar Puligadda, Learned Counsel appearing for the Applicant Companies and perused the documents filed.

16. It is noted that all the shareholders of the Applicant Companies have given consent affidavits, agreeing to the proposed Scheme of Amalgamation. Hence the meeting of the Shareholders of the Applicant Companies can be dispensed with, in terms of Section 230(9) of the Act.

17. It is noted that Secured Creditors have given consent affidavit agreeing to the proposed Scheme of Amalgamation. Hence the meeting of the Secured Creditors of the Applicant/Transferee Companies can be dispensed with, in terms of Section 230(9) of the Act.

18. It is noted that Unsecured Creditors have given consent affidavit agreeing to the proposed Scheme of Amalgamation. Hence the meeting of the Unsecured Creditors of the Applicant Companies can be dispensed with, in terms of Section 230(9) of the Act.

19. In compliance of sub section(5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, the applicant companies shall send notice under sub section (3) of Section 230 read with Rule 6 of the Rules with a copy of the Scheme, the explanatory statement and the disclosures mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern Region; (b) the Registrar of Companies, Andhra Pradesh; (c) the Income Tax Authorities; and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Hand Delivery at the Offices of the authorities as required by sub rule (2) of Rule 8 of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal within a period of 30 (thirty) days from the date of receipt of such notice, failing which it shall be

deemed that they have no representation to make on the proposed Scheme.

20. In the event of the Applicant Companies approaching this Tribunal seeking approval of the Scheme, it would be open for any person who is interested in the Scheme to put forth his/their contention(s) before the Tribunal. Hence ordered.

ORDER

The Company Application i.e., CA(CAA) No.2/230/AMR/2022 is allowed and disposed of accordingly.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

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